

## EXPLAINER · REWARDS MARKETPLACE

# How everyday services get paid for by blockchain — without a single dirham of interest

A plain-English walkthrough of the Wakala model, the staking mechanics, the Sharia compliance framework, and the real numbers behind Rewards Marketplace.

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Rewards Marketplace · Official Platform Overview | Sharia-Compliant · Wakala Structure · Blockchain-Powered

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*What if your mobile credit could pay for itself — not through a loan, not through interest, but through the act of helping to secure a global financial network? That is the premise behind Rewards Marketplace. This article explains exactly how it works, why it is structured the way it is, and why the mathematics hold up.*

## The Problem Being Solved

Across West Africa, millions of people need access to everyday services — mobile data, electricity, groceries — but face a cash-flow gap at the point of purchase. Traditional credit fills this gap but comes with interest. Islamic finance prohibits *riba* (interest), leaving many communities underserved by conventional microcredit.

**Can blockchain technology provide service access on credit terms that are genuinely interest-free — not just in name, but in structure? The**

answer required rethinking what "credit" means at a fundamental level. Rather than borrowing money and repaying it with interest, the platform allocates your own digital assets on your behalf and routes the rewards those assets generate back to settle your balance.

## The Legal Foundation: Wakala bil Istithmar

The entire platform sits on a single Islamic finance contract: **Wakala bil Istithmar** — an Investment Agency Agreement. Understanding this contract is the key to understanding why the model is Sharia-compliant.

### WHAT IS A WAKALA?

In classical Islamic jurisprudence, a Wakala is an agency contract. You (the Muwakkil, or Principal) appoint another party (the Wakil, or Agent) to act on your behalf for a defined purpose. The Wakil earns an agreed fee (Ujrah) for the service. The Wakil does not own the assets — they manage them on your behalf, and you bear the risk.

This is distinct from a loan in three critical ways: (1) No debt is created — the Wakil is your agent, not your creditor. (2) The Wakil cannot guarantee any return — they can only act diligently. (3) All assets remain legally and beneficially yours throughout.

|                                                                                                                                                                                           |                                                                                                                                                                                            |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <div>✓ COMPLIANT</div> <div>No Riba (Interest)</div> <div>No loan is made. No interest accrues. The balance reduces only through variable rewards from network participation.</div>       | <div>✓ COMPLIANT</div> <div>No Gharar (Uncertainty)</div> <div>All terms, assets, and fees are fully disclosed. A 20% minimum USDT allocation stabilises the reserve.</div>                |
| <div>✓ COMPLIANT</div> <div>Asset Ownership (Milk)</div> <div>The customer retains full legal and beneficial ownership of the crypto assets. The Wakil manages but never owns them.</div> | <div>✓ COMPLIANT</div> <div>Ju'alah-Based Rewards</div> <div>Staking rewards are compensation for performing a real service — securing a blockchain network. Not money making money.</div> |

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## How Staking Actually Works

On a **Proof-of-Stake blockchain**, the network's security is maintained by validators who lock up ("stake") tokens as collateral. In exchange for performing honest validation work — confirming transactions, proposing new blocks, attesting to network state — validators and their delegators receive protocol rewards.

As Islamic finance scholar Faraz Azam explains, this is best understood through the fiqh concept of *ju'alah*: a reward offered to whoever performs a defined task. The protocol's offer is: *"Whoever secures the network honestly, on these terms, receives this reward."* The reward is not interest on a loan — it is payment for a productive service.

***"Staking is not money making money. It is payment for securing a public ledger, with real operational risk attached."***

The key Sharia test is whether **real risk** exists. In genuine staking, it does: validators can be "slashed" (lose a portion of their stake) for downtime or misbehaviour, token prices fluctuate, and network rules can change. The platform bears this risk on the customer's behalf — exactly what a Wakil is supposed to do.

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## The Process, Step by Step

Here is precisely what happens from the moment a customer requests a service to the moment their balance reaches zero.

### 01 Customer Requests Service

Customer visits a local agent and requests a service (e.g. D200 of mobile credit). They verbally accept the Wakala terms, appointing the platform as their agent.

Customer: Amadou Jallow | Service: Mobile credit | Amount: D200

### 02 Ujrah (Fee) Deducted

A 10% agency fee is deducted from the transaction amount. This is the platform's compensation for acting as Wakil and is allocated to operational wallets (Burn, Tax, Staff).

Ujrah:  $D200 \times 10\% = D20$  -> Burn/Tax/Staff wallets. Net allocation: D180.

### 03 Sharia-Screened Asset Acquisition

The remaining D180 is used to purchase a basket of Sharia-compliant staking assets in the customer's name. All assets are sourced from the vetted reserve pool.

Assets purchased: SOL (30%), ADA (25%), USDT (20%), ETH (10%), LUNC (15%)

### 04 Staking Delegation

The Wakil delegates the purchased assets to validator nodes on respective Proof-of-Stake networks using the customer's designated wallet. Assets begin generating variable rewards.

Networks: Solana, Cardano, Ethereum (Lido), Terra Classic.  
Avg. APY: ~6-9% blended.

### 05 Service Credit Issued

The full service credit (D200) is issued to the customer immediately through local partner networks — airline, grocery voucher, or prepaid power.

Credit issued: D200 mobile airtime -> Customer's phone.  
Timing: same day.

06 Rewards Applied to Balance

Weekly, staking rewards are calculated, converted to GMD at live exchange rates, and applied to reduce the customer's outstanding balance. Zero interest. Zero penalty.

Week 1: D3.60 reward generated -> D3.60 applied -> Balance: D200 -> D196.40

07 Full Settlement & Transparency

The customer monitors progress via their dashboard. When cumulative rewards cover the full D200 credit, the balance reaches zero. The customer's assets remain theirs.

Estimated settlement: 12-24 months at blended 6-9% APY on D180 allocation.

The Mathematics: Does It Actually Work?

The viability of the model rests on whether staking rewards can realistically cover the original credit value over a reasonable timeframe. Let us run the numbers honestly.

|                                             |               |
|---------------------------------------------|---------------|
| // Worked Example — D200 Credit Transaction |               |
| Customer requests service credit            | D200.00       |
| Ujrah deducted (10%)                        | - D20.00      |
| Net staking allocation                      | D180.00       |
| Blended APY (conservative 7%)               | 7.0%          |
| Annual rewards generated                    | D12.60 / yr   |
| Weekly reward applied to balance            | ~D0.24 / wk   |
| Estimated time to full settlement           | ~15-18 months |
| Total interest paid by customer             | D0.00         |

At a conservative 7% blended APY, a D200 credit settles in approximately 15–18 months. At 10% APY settlement drops to around 12 months. At the

lower end of 4%, settlement extends to around 28 months. In all scenarios, the customer pays **zero interest**. The worst case is simply a longer wait, not a higher cost.

## A Real Scenario: Meet Fatou

### Fatou's Electricity Credit Journey

Scenario: D500 prepaid power credit, March 2026 – present

■ **10 March 2026**

Fatou requests D500 of prepaid electricity credit. Ujah of D50 deducted. D450 allocated to SOL/ADA/ETH/LUNC/USDT basket on her behalf. Credit issued same day.

■ **17 March 2026**

First weekly staking rewards calculated: D6.80 generated. Applied to balance. Balance: D500 → D493.20.

■ **1 April 2026**

SOL price rises 14% — wallet value increases. Rewards for March total: D28.40. Balance now D471.60. Progress: 5.7%.

■ **8 May 2026 (Today)**

Cumulative rewards applied: D46.20. Balance: D453.80. On track for full settlement by approximately June 2027 at current reward rates.

■ **Projected: June 2027**

Balance reaches D0. Zero interest paid. Fatou's underlying assets remain in her wallet, continuing to stake and generate rewards for her.

## The Reserve: Eight Assets, One Principle

The platform uses a diversified reserve of cryptocurrencies, all individually screened for Sharia compliance. This diversification serves three purposes: yield optimisation, risk reduction, and liquidity maintenance.

| ASSET         | ALL OC | APY RANGE | SHARIA      | ROLE                  |
|---------------|--------|-----------|-------------|-----------------------|
| Solana (SOL)  | 30%    | 6–8%      | ✓ Compliant | Primary staking yield |
| Cardano (ADA) | 25%    | 4–5%      | ✓ Compliant | Stable PoS yield      |
| Tether (USDT) | 20%    | —         | ✓ Compliant | Liquidity buffer      |

|                     |     |       |             |                    |
|---------------------|-----|-------|-------------|--------------------|
| Ethereum (ETH)      | 10% | 3–5%  | ✓ Compliant | Lido stETH staking |
| Luna Classic (LUNC) | 15% | 6–12% | ✓ Compliant | High-yield + burns |

## Questions & Answers

16 questions answered across 5 categories — drawing directly from platform documentation, Sharia advisory reports, and the Faraz Azam staking analysis.

### HOW THE PLATFORM WORKS

#### What exactly is Rewards Marketplace — is it a loan, a savings product, or something else?

Neither. Rewards Marketplace is a technology platform built on a Wakala bil Istithmar (Investment Agency) contract. When you access an everyday service, you are not taking a loan. Instead, you appoint the platform as your agent to manage a digital asset allocation on your behalf.

The service credit you receive is issued upfront. Over time, variable staking rewards generated by those assets are applied to reduce your outstanding balance — at 0% interest.

*Legal basis: Wakala bil Istithmar — a recognised Islamic finance contract. You retain ownership of assets at all times.*

#### How long does it take for my balance to reach zero?

It depends on the staking rewards generated, which vary based on network performance. With a diversified reserve earning between 3–20% APY (blended average approximately 6–9%), a D200 balance would typically be settled within 12–24 months.

There is no deadline, no late fee, and no penalty. The balance simply decreases over time as rewards accumulate.

*Example: D200 balance at 8% blended APY = ~D16/year in rewards applied. Timelines are estimates, not guarantees.*

### SHARIA COMPLIANCE

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### Why is this Sharia-compliant? What makes it different from a regular loan?

Three core principles separate this from *riba*: (1) No debt is created — the *Wakala* contract means the platform acts as your agent, not your creditor. (2) No guaranteed return — staking rewards are entirely variable. (3) Real productive work underlies the reward — on Proof-of-Stake networks, your assets participate in securing the blockchain.

Scholar Faraz Azam's analysis frames this as *ju'alah*: a reward for performing a legitimate, productive service. Money is not making money; assets are performing work.

*Key fiqh concept: Ju'alah — a contract where a reward is given to whoever performs a defined task.*

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### What is 'staking' and why is it permissible in Islam?

Staking means locking your tokens in a Proof-of-Stake blockchain to participate in transaction validation. In return, the network pays you rewards — not as interest on a loan, but as compensation for performing a real service: securing a public ledger.

In genuine staking, there is real work (validating blocks), real risk (slashing, downtime, price volatility), and variable outcomes — all of which point away from *riba*.

*Not all 'staking' products are compliant. Exchange-based staking that guarantees a fixed return can resemble a loan. This platform uses genuine validator delegation with variable rewards only.*

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### Which Sharia authorities have reviewed this?

The asset selection is grounded in Fasset's publicly available Shariah reports. Key assets (SOL, ADA, ETH, USDT, LUNC) are all listed as Sharia Compliant in their verified database.

For LUNC specifically, following direct engagement with Sharlife.my — a Shariah advisory firm registered with Malaysia's Securities Commission — the token continues to screen as compliant.

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## Why is Terra Classic (LUNC) included given the 2022 collapse?

The original Terra ecosystem collapsed due to an algorithmic stablecoin (UST) failure. That product no longer exists. The current Luna Classic (LUNC) chain is a community-governed Proof-of-Stake blockchain, completely independent of the failed stablecoin mechanism.

LUNC is allocated at 15% of the reserve (reduced from an original 25%) and offers native staking yields of 6–12% APY. Following advisory review by Sharlife.my, it continues to screen as compliant.

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## RISK & TRANSPARENCY

### What are the real risks I should understand?

Market risk: The value of staked crypto assets fluctuates. If prices fall significantly, the GMD-equivalent value of your wallet may decrease — though this does not increase your repayment obligation.

Reward variability: Staking APYs are not fixed. Network conditions and protocol changes can cause rewards to increase or decrease. Slashing risk: In rare cases of validator failure, a portion of staked assets can be forfeited. Liquidity risk: Staked assets may have unbonding periods of 2–21 days before they can be moved.

*This is a technology platform, not a regulated financial product. No returns are guaranteed.*

### What happens if staking rewards stop entirely?

If staking rewards drop to zero, your balance would simply stop reducing. There is no penalty, no enforcement, and no interest accruing. Your assets remain yours.

You would still hold the underlying crypto assets, which retain their independent market value.

### How is my money kept separate from the company's money?

The Wakil has no right to mix customer assets with its own funds, use them for its own benefit, or pledge them as collateral. All customer assets are held in segregated wallets.

The platform's three internal wallets — Burn, Tax, and Staff — are funded exclusively from Ujah (fee) proceeds, never from customer staking assets.

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## FEES & ECONOMICS

### What is the 10% Ujah fee and where does it go?

The Ujah is a 10% agency service fee charged at the time of each transaction. On a D200 transaction, D20 is deducted as Ujah, and D180 is allocated to staking assets on your behalf.

Ujah proceeds are distributed across three wallets: the Burn Wallet funds monthly LUNC burns, the Tax Wallet covers Gambian tax obligations, and the Staff Wallet pays agent wages.

*The Ujah is a one-time fee per transaction — not a recurring charge. No monthly fees, no interest charges, no hidden costs.*

### Is the platform financially sustainable?

The platform's revenue is the Ujah (agency fee). At 10% per transaction, this covers operational costs, tax compliance, and staff wages. It is not dependent on staking rewards — those flow entirely to the customer's balance reduction.

As transaction volume grows, the fee pool grows proportionally. There is no hidden revenue extraction from staking yields.

## PRACTICAL QUESTIONS

### What services can I access through the platform?

Currently: mobile airtime/data credit, grocery vouchers, and prepaid electricity/power credit. These are delivered through local partner networks in The Gambia.

Future expansion will include additional essential services, multi-currency support, and integrations across broader West African markets.

### Do I need to understand crypto to use this?

No. The platform is designed so that customers interact entirely in local currency (Dalasi). You request a service, receive the credit, and watch your balance reduce over time. The crypto mechanics happen in the background.

Your dashboard shows everything in GMD terms. You never need to buy, sell, or hold crypto directly.

### Is this available outside The Gambia?

Currently the platform operates in The Gambia. The infrastructure is designed to be scalable across West Africa — the Wakala contract, Sharia compliance framework, and multi-asset reserve are all portable to other markets.

Future expansion to additional African countries is planned as a core part of the roadmap.

## What regulations apply to this platform?

The platform operates in The Gambia and complies with Gambian law. The Tax Wallet ensures all tax obligations are met. The Wakala structure is grounded in internationally recognised Islamic finance contract law.

The platform is a technology platform, not a regulated financial service provider. It does not offer regulated financial products.

*Rewards Marketplace does not provide investment advice, guaranteed returns, or regulated financial services.*

## Ready to see it in action?

Explore the live platform dashboard, check your balance progress, or speak to a local agent about accessing your first service.

→ [rewardsmarketplace.com](https://rewardsmarketplace.com)

**Important Notice:** Rewards Marketplace is a technology platform and does not provide investment advice, guaranteed returns, savings products, or regulated financial services. Digital asset-related operations involve market and operational risk. Staking rewards are variable and not guaranteed. This article is for informational purposes only. All Sharia compliance assessments referenced are based on third-party advisory opinions. Please seek independent Sharia and financial advice as appropriate for your circumstances.